CPAVATE Platform Round Management Calculations

Round 0

This round is for Owners/Co-founders of the company. The information for this round should be based on the incorporation documents and share issued to founders on this round will be carried to Round 1 but not the price per share. Price per share for Round 0 is known at the time of incorporation and should be entered as it is stated. BUT this price per share will not carry over Rounds. Each round starting from Round 1 platform should calculate the price per share based on the input and given information.

Round 0

Platform Inputs:

1. # of share issued to each founder as per incorporation documents
2. Type of shares as per incorporation documents
3. Price per share as per incorporation

Platform Outputs:

1. Total number of shares issued at the time of incorporation.
2. Ownership % based # of shares issued.
3. Total Values

Example:

At Round 0 (cap table at incorporation) there are 3 founders.

- Total of 1000 shares are issued
- Price per share is $0.01

Founders are called F1, F2, F3 here.

Management

F1 common shares 500

F2 common shares 300

F3 common shares 200

Total # of shares = Sum of above = 500 + 300 + 200 = 1,000 (this will be carried to Round 1)

Fully Diluted Ownership %

For F1 will be: 500/1,000 in percentage = 50%

For F2 will be: 300/1,000 in percentage = 30%

For F3 will be: 200/1,000 in percentage = 20%

Total Value = (500 * 0.01) + (300 * 0.01) + (200* 0.01) = 5 + 3 + 2 = $10 (this value will NOT carry over to Round 1)

Round 1 (Seed Round)

Platform Inputs:

1. Investment size at this round (how much Owners/Fonders willing to raise)
2. Pre-Money Valuation (how much the company worth at the beginning of this round)
3. Pre-Seed Option Pool % (Employee Pool %)
4. Liquidation Preference Multiple (1.0 X, 2.0X, etc.)

Platform Outputs:

1. Post-Money Valuation
2. Pos- Investment # shares
3. New shares issued in Round 1
4. Round 1 Share Price
5. Pre Seed Cap table (# shares, 0wnership %, $ value)
6. Post Seed Cap table (# shares, ownership %, $ value)

Same Example Round 1 Calculations:

Investor 1 in Round 1 (Input): $300 (NEW)

Investor 2 in Round 1 (Input) : $1,700 (NEW)

Pre- Money Valuation (Input): $8,000

Post-Money Valuation = $ 300 + $1,700 + $8000 = **$10,000 (NEW)**

Investor 1 Post- Mony Ownership % = 300/ 10,000 (%) = **3%** (New)

Investor 2 Post- Mony Ownership % = 1700/ 10,000 (%) = 17% (NEW)

Employee Option Pool (pre seed) = 10%

Multiply = 1.0 X

Employee # shares = Total # shares in Round 0 / (1- pre seed option poll) * pre seed option pool = 1,000/ (1- 10%) * 10% = (1,000/0.9) (0.1) ≈ 111

Total # of shares at Pre-Seed Round 1 = 1,000 + 111 = 1,111

Common Shares at Pre Seed Round 1

F1 # shares = 500

F2 # shares = 300

F3 # shares = 200

Total Founders # Shares = 1,000

Employee # shares = 111

Total # of shares = (500 + 300 + 200 + 111) = 1,111

Fully Diluted Ownership % at Pre -Seed Round 1

F1 Ownership % = 500/ 1,111 (%) = 45%

F2 Ownership % = 300/ 1,111 (%) = 27%

F3 Ownership % = 200/ 1,111 (%) = 19%

Total Founders Ownership (%) = Sum of 45% + 27% + 19% = 90%

Employee % Ownership % = 10%

Total Ownership = 90% + 10% = 100%

Values ($)

F1 Value ($) = 45% * **8,000** = $ 3,600

F2 Value ($) = 27% * **8,000** = $2,160

F3 Value ($) = 18% * **8,000** = $1,440

Total Value Founders Pre seed round 1 ($) = $7,200

Total Employee Value ($) = 10% * **8,000** = $800

Total Pree seed Value = $ 7,200 + $ 800 = $8,000

At this point we can calculate the total # of shares issued for this round at post investments and determine the share price for Round 1.

Total # of shares at Round 1 post investment = **1,111**/ (1- **3%-17%**) ≈ 1,389 (New)

# of new shares issued in Seed Round 1 = 1,389 – 1,111 = **278** (this is the # of shares issued and given to the investors in this round.

Post investment share count for Investor 1: 3% * 1,389 ≈ 41 (NEW)
Post Investment share count for Investor 2 : 17% * 1,389 ≈ 236 (NEW)

$2,000 / **278** ≈ $7.2

<u>Common Shares at Post Seed Round 1</u>

<u>Common shares</u>

F1 # shares = 500

F2 # shares = 300

F3 # shares = 200

Total Founders # Shares = 1,000

Employee # shares = 111

Seed Investors # shares = 0

<u>New Shares:</u>

F1 # new shares = 0

F2 # new shares = 0

F3 # new shares = 0

Total Founders # new Shares = 0

Employee # new shares = 0

Seed Investor 1 # new shares = 41 (New)
Seed Investor 2 # new shares = 236 (New)

Total new shares = 0 + 0 + 0 +0 + 41.68 + 236.12 = 278 (NEW)

Total Shares (this is important as the numbers will carry to the next investment round)

F1 total shares = 500 + 0 = 500

F2 total shares = 300 + 0 = 300

F3 # total shares = 200 + 0 = 200

Founders' total shares = 500 + 300 + 200 = 1,000

Employee total shares = 111

Investors total shares = 41.68 + 236.12= 278 (NEW)

Total # of shares = 1,000 + 111 + 278 = 1,389

Fully Diluted Ownership % at Post -Seed Round 1

F1 Ownership % = 500/**1,389** (%) = 36%

F2 Ownership % = 300/ **1,389** (%) = 21.6%

F3 Ownership % = 200/ **1,389** (%) = 14.4%

Total Founders Ownership (%) = Sum of 36% + 21.6% + 14.4% = 72%

Employee % Ownership % = 111/**1,389 =** 8%

Investor 1 % Ownership = 41/**1,389 =** 3% (NEW)

Investor 2 % Ownership = 236/1,389 = 17% (NEW)

Total Ownership = 72% + 8% + 3% + 17%= 100% (NEW)

Values ($)

F1 Value ($) = 36% * **$10,000**= **$ 3,600**

Note: at this point it's the same as if you multiply the # of shares by price per share which is: 500 * $7.2 = **$3,600**

F2 Value ($) = 21.6% * **$10,000**= $2,160

Note: at this point it's the same as if you multiply the # of shares by price per share which is: 300 * $7.2 = $ **2,160**

F3 Value ($) = 14.4% * **$10,000**= $1,440

Note: at this point it's the same as if you multiply the # of shares by price per share which is: 200 * $7.2 = **$1,440**

Total Value Founders Post Seed round 1 ($) = $3,600 + 2,160 + $1440 = $7,200

Employees Value ($) = 8% * **$10,000** = **$800**

Note: at this point it's the same as if you multiply the # of shares by price per share which is: 111 * $7.2 = **$800**

Investors 1 Value ($) = 3% * **$10,000** = $300 (NEW)

Investors Value ($) = 17% * **$10,000** = $1,700 (NEW)

Total Value ($) at the end of Seed Round 1 = $7,200 + $800 + $300+ $1,700= $ 10,000 (NEW)

I rounded up some of the numbers but the platform should calculate them accurately.